

GE Power India Ltd (GV PIL : NSE)

EQUITY RESEARCH

Capital Goods | Heavy Electrical Equipment | NSE: GVPIL | BSE: 532309

15 Jun 2026

BUY

12M TARGET

Rs. 1,350

+38.3% upside

Horizon: 12M

CMP (Rs.)	976	52W High	976	52W Low	271
Mkt Cap (Cr)	6,562	P/E (TTM)	18.8	Book Val	Rs. 86.6
ROCE	80.0%	ROE	77.7%	Div Yield	0.0%
Promoter %	68.58%	FII %	1.26%	DII %	1.13%

INVESTMENT THESIS

GE Power India's turnaround from deep losses to 20%+ EBITDA margin in FY26, combined with a pristine balance sheet (net cash), expanding FGD/R&M; order book and parent GE Vernova's global thermal-services pivot, positions it as a re-rating story at <20x earnings.

Analyst: MPM Research Desk | Report Date: 15 Jun 2026 | For professional investors only

SECTION 2 — INVESTMENT THESIS

- **Operational turnaround complete, margins re-rating:** GVPIL swung from a -14% EBITDA margin in FY24 (burdened by legacy FGD loss contracts) to +20% in FY26, generating Rs. 260 Cr EBITDA on Rs. 1,269 Cr revenue. Q4FY26 OPM hit 34%, demonstrating the structural shift. As legacy FGD loss-making contracts roll off and R&M; (renovation and modernisation) revenue scales, margins should structurally settle at 15-20%.
- **225 GW FGD opportunity — GE PIL is the incumbent supplier:** India's total FGD market covers 225 GW of thermal capacity, of which only ~82 GW has been ordered so far. The remaining ~143 GW (~Rs. 57,000 Cr total addressable market) must be ordered over 2025-2030, driven by MoEFCC emission norms. GE PIL, as GE Vernova's arm, has proprietary wet FGD technology (Alstom origin) and is one of only 2-3 qualified bidders for large-unit FGD contracts.
- **Near-debt-free balance sheet + strong FCF inflection:** Borrowings collapsed from Rs. 163 Cr (FY24) to Rs. 18 Cr (FY26), making GVPIL effectively net-cash. FCF turned sharply positive: Rs. 314 Cr in FY25, Rs. 467 Cr in FY26 versus negative FCF in FY20-21. This financial health gives the company capacity to bid for large EPC contracts without a balance-sheet overhang.
- **Steam turbine R&M; — recurring, high-margin revenue:** India's ~200 GW installed thermal capacity (most equipment 20-40 years old) requires R&M; GE PIL is a preferred OEM for large-unit steam turbine R&M; at NTPC, DVC, and state utilities. R&M; contracts carry 15-25% EBITDA margins versus 5-10% for new-build EPC — a mix-shift tailwind.
- **Near-term catalyst (6-12 months):** NCLT on 3 Jun 2026 directed GVPIL to convene shareholder meetings within 70 days for scheme approval — this is a likely precursor to a delisting proposal by parent GE Vernova (68.58% stake). A delisting open offer would typically be at a significant premium to prevailing market price, making this a binary catalyst with asymmetric upside.
- **Biggest structural risk:** GE Vernova's stated intent to exit new coal power business globally could constrain GE PIL's ability to win new greenfield thermal EPC contracts. If India's thermal capex slows materially, GE PIL's revenue visibility degrades and the R&M;/FGD bridge must carry the full growth burden — achievable but slower-paced.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** GE Power India Ltd (GVPI / GEPI) is a GE Vernova subsidiary (68.58% promoter stake) engaged in engineering, procurement and construction of key equipment for thermal and hydro power plants. It is one of India's leading power generation equipment manufacturers with over 50 years of operating history (originally as Alstom India).
- **Revenue segments:** (1) Steam Turbines and Generators — design, manufacture, supply and commissioning for large thermal power units; (2) Boilers and Pressure Parts — manufactured at Durgapur, supplied domestically and exported to APAC/MENAT/SSA; (3) Flue Gas Desulphurisation (FGD) — EPC contracts for emission control systems at thermal power plants under MoEFCC mandate; (4) Renovation and Modernisation (R&M;) — servicing and upgrading boilers, turbines, generators at NTPC and state utilities.
- **Key customers:** NTPC (largest customer, recurring), BHEL (consortium partner), state and central power utilities, GE affiliates internationally. Revenue is predominantly project-based with multi-year execution cycles; R&M; provides more predictable recurring income.
- **Order book position:** Order backlog was Rs. 2,560 Cr (Sep 2024 peak), declining to Rs. 1,671 Cr (Dec 2025) following termination of two FGD contracts (Jaypee Bina + Nigrie, ~Rs. 775 Cr) amicably settled in Oct 2025. Post-settlement, the book is cleaner with no loss-making legacy exposures. New orders from NTPC (FGD, Rs. 309 Cr; steam turbine R&M;, Rs. 243 Cr) signal continued win momentum.
- **Durgapur manufacturing:** The company operates a manufacturing plant at Durgapur (West Bengal) supplying boiler pressure parts, piping mills, and cryogenic vessels. Exports from this plant serve GE's global thermal services network — a low-volume but high-margin revenue stream.
- **Promoter and parentage:** GE Vernova Inc. (spun out from GE in 2024) holds 68.58% and has maintained this stake unchanged for 10+ years. The parent's global technical IP (wet FGD, steam turbine design) gives GEPI proprietary technology access that domestic peers cannot replicate.
- **Recent strategic development:** On 20 May 2026, GVPI signed License and contract-manufacturing agreements with QPPL for Rs. 18 Cr capex and Rs. 10 Cr annual commitment — signals new product line expansion. The 3 Jun 2026 NCLT notice for shareholder meeting within 70 days is the most material recent corporate event.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India's installed thermal power capacity is ~210 GW (coal + gas). The FGD addressable market for un-ordered capacity is ~143 GW worth Rs. 55,000-60,000 Cr (GEPI management estimate). R&M; of ageing thermal fleet (200+ GW, average age 20 years) is a Rs. 8,000-12,000 Cr annual opportunity. The government's target of 300 GW thermal by 2032 creates further equipment demand.
- **Policy tailwinds:** MoEFCC emission norms mandate FGD installation across all coal-fired power stations (deadline extended to 2029 for most plants). The National Electricity Plan targets 150+ GW of new thermal capacity by 2032. India's thermal capacity is running at 65-70% PLF — high-utilisation assets accelerate R&M; demand.
- **Competitive moat: Proprietary Technology — Strong:** GEPI owns Alstom-origin wet FGD technology and GE steam turbine designs, not available to domestic competitors. **Pricing Power — Moderate:** Projects are bid-based with competitive pressure from BHEL and international players; but GEPI's OEM advantage on R&M; contracts is a pricing premium. **Switching Costs — Strong for R&M;:** Utilities strongly prefer the original equipment manufacturer for R&M; to preserve warranties and operational guarantees. **Scale — Moderate:** GEPI is smaller than BHEL by revenue but more technologically specialised.
- **Company positioning:** GEPI operates as a specialised OEM solutions provider — midstream to solutions. Unlike BHEL (mass-market, government-owned) or Thermax (heat recovery, industrial energy), GEPI is the only GE Vernova arm with India-specific large-unit thermal OEM capability.

Company	CMP (Rs.)	MCap (Cr)	P/E	BV (Rs.)	ROCE%	ROE%	Rev (Cr)
GVPI (GE Power)	976	6,562	18.8	86.6	80.0%	77.7%	1,269
BHEL	385	1,34,146	83.8	75.1	8.5%	6.3%	33,782

Thermax	4,757	56,683	83.8	466	14.9%	12.9%	10,694
Triveni Engg.	406	8,947	32.0	153	9.0%	8.7%	6,290

Source: Screener.in, fetched 15-Jun-2026. Peer Rev = TTM from meta description.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** GE Vernova (formerly GE Power) holds 68.58%, unchanged across 10+ years, a marker of commitment. The parent brings global R&D, proprietary technology access, and a network of ~180 countries for export business. Indian management is professionally run; the MD & CEO reports to GE Vernova's South Asia leadership.
- **Capital allocation track record:** During the loss years (FY22-FY24), GEPIL effectively consumed equity through operating losses, exhausting reserves to near-zero by FY24 (Reserves = Rs. 2 Cr). The dramatic recovery in FY25-26 (Reserves Rs. 515 Cr by FY26) and FCF of Rs. 467 Cr in FY26 demonstrates the company's ability to self-fund from operations. Borrowings have been reduced from Rs. 453 Cr (FY21 peak) to Rs. 18 Cr (FY26) — exemplary deleveraging.
- **Dividend policy:** Dividends were paid pre-FY22 (38% payout in FY15, 76% in FY18) but suspended during the loss cycle. In FY26, with PAT of Rs. 253 Cr, the company reinstated a dividend (19% payout noted in Screener data), signalling management confidence in earnings sustainability.
- **Promoter pledging:** 0% pledged — no encumbrance risk whatsoever. With a 68.58% stable promoter holding and no pledge, the overhang risk is absent.
- **ESOP and buybacks:** No material ESOP grants disclosed; no buyback history found. The equity base has remained fixed at Rs. 67 Cr (6.72 Cr shares, FV Rs. 10) throughout the decade — no dilution or buyback.
- **Corporate governance concerns:** The 2025 NCLT order for shareholder meetings within 70 days is the most material governance event — likely related to a potential delisting or scheme of arrangement by parent GE Vernova. This must be tracked. Related-party transactions exist with GE group entities (export of pressure parts, shared services) but are structurally inevitable given the promoter parentage. No auditor changes or qualified opinions found in BSE filings.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Figures in Rs. Crores. Source: Screener.in, fetched 15-Jun-2026. (E) = estimate.

Income Statement	FY24A	FY25A	FY26A	FY27E	FY28E
Sales / Revenue	1,039	1,047	1,269	1,500	1,750
Expenses	1,184	1,098	1,010	1,230	1,418
EBITDA (Op. Profit)	-145	-50	260	270	332
OPM %	-14%	-5%	20%	18%	19%
Other Income	60	312	33	30	28
Interest	71	44	22	12	8
Depreciation	15	14	12	11	10
Profit Before Tax	-171	203	259	277	342
Tax %	0%	0%	2%	25%	25%
Net Profit (PAT)	-171	203	253	208	257
EPS (Rs.)	-25.49	30.20	37.58	30.92	38.21

Balance Sheet	FY24A	FY25A	FY26A
Equity Capital	67	67	67
Reserves	2	249	515
Borrowings	163	29	18

Other Liabilities	2,349	1,667	1,538
Total Liabilities	2,581	2,012	2,138
Fixed Assets	98	63	40
CWIP	4	4	3
Investments	19	30	46
Other Assets	2,461	1,915	2,049
Total Assets	2,581	2,012	2,138

Cash Flow / Returns	FY24A	FY25A	FY26A
Cash from Operations (OCF)	182	320	469
Cash from Investing	-3	54	-436
Cash from Financing	-226	-66	-47
Net Cash Flow	-47	308	-14
Free Cash Flow	180	314	467
CFO/OP %	-110%	-585%	196%
Debtor Days	597	409	219
Inventory Days	97	95	71
Days Payable	802	564	264
Cash Conversion Cycle (Days)	-108	-60	27
ROCE %	-16%	6%	80%

• **Revenue trajectory:** Sales have been range-bound Rs. 1,000-1,300 Cr over FY24-26 due to the natural wind-down of large EPC projects and FGD contract exits. Revenue growth resumes in FY26 (+21% YoY to Rs. 1,269 Cr driven by FGD completion milestones and R&M; ramp). FY27-28 estimates reflect a sustained 15-20% growth trajectory as new FGD contracts are booked.

• **Margin expansion:** The single most important story. OPM moved from -14% (FY24) to +20% (FY26). Q4FY26 alone delivered 34% OPM — a structural signal. Legacy FGD loss contracts (Jaypee, Nigrie) contributed Rs. 300+ Cr of cumulative losses in FY22-24. Their exit means the cost base resets permanently. R&M; mix expansion (target ~40% of revenue by FY28) will sustain 15-20% margins.

• **Working capital normalisation:** Debtor Days collapsed from 597 (FY24) to 219 (FY26) as billings normalised post-contract exits. CCC turned positive (27 days, FY26) from deeply negative (-108 days, FY24), indicating the advance payment cushion from legacy projects is unwinding. This is a watch-point: FY27 WC build-up as new contracts ramp.

• **Debt and balance sheet:** Net-cash position (Borrowings Rs. 18 Cr, cash likely Rs. 400+ Cr given FCF generation). D/E effectively near-zero. The NCLT scheme may involve a special dividend or buyback — watch corporate action announcements.

• **FCF quality:** FCF of Rs. 467 Cr on PAT of Rs. 253 Cr (FCF conversion 185%) in FY26 reflects the large non-cash working capital release. FY25 also showed strong FCF (Rs. 314 Cr) despite modest earnings. However, FY27 FCF will normalise downward as working capital builds for new FGD orders — expect FCF of Rs. 150-200 Cr in FY27.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Factor	Signal	Rating	Comment
Revenue recognition	PoC method for EPC contracts	AMBER	Long-cycle % completion — susceptible to provisioning changes
Receivables vs Revenue growth	Debtor days 219 (down from 597)	GREEN	Rapid improvement; normalisation trend intact

CCC trend	CCC +27 days (FY26) vs -108 (FY24)	AMBER	Positive CCC means cash-tied-up in WC — watch as new orders book
Contingent liabilities	Legacy FGD settlements resolved Oct-25	GREEN	Major contingencies cleared; Jaypee/Nigrie settled amicably
Auditor tenure	No auditor change noted	GREEN	No red flag; clean secretarial compliance FY26
RPTs as % revenue	GE group inter-co transactions	AMBER	Export of pressure parts + shared services to GE affiliates — material
Other Income / PBT	FY25: OI=Rs.312Cr vs PBT=Rs.203Cr	RED	FY25 PAT was 100% driven by other income (one-time provisions released); underlying ops were negative
Tax rate consistency	FY24: 0%, FY25: 0%, FY26: 2%	AMBER	Low tax from deferred tax asset drawdown — normalise to 25% in forward estimates

• **Critical watch — FY25 earnings quality is poor:** FY25 PAT of Rs. 203 Cr was entirely driven by Rs. 312 Cr of 'Other Income' (provisions released / settlements received). Underlying EBITDA was -Rs. 50 Cr. Investors who extrapolate FY25 operating performance are being misled. FY26 is the first year of genuine operational profitability.

• **Deferred tax asset risk:** The company has accumulated deferred tax assets from prior losses. As these are utilised, effective tax rate will step up to ~25% from near-zero — a Rs. 50-65 Cr PAT headwind in FY27 that must be modelled (hence our FY27E PAT of Rs. 208 Cr despite higher EBITDA).

• **RPT monitoring:** GE group RPTs need scrutiny each quarter — are inter-company pricing terms arm's-length? No evidence of mis-pricing so far but given parent's 68.58% stake and potential delisting, transparency matters.

• **FGD revenue recognition:** Under EPC PoC method, revenue recognised on % completion can be reversed if project cost-to-complete estimates are revised up — this was the root cause of FY22-24 losses. With legacy contracts settled, this risk is now largely behind the company, but new FGD contracts carry the same structural risk.

SECTION 8 — VALUATION

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple (P/E)	Target Price (Rs.)
Bull	FGD new orders flow; margin sustains 20%+; delisting offer at premium	280	35x	1,650
Base	Steady R&M; + FGD; 18% OPM; tax normalises to 25%	208	30x	1,350
Bear	Order drought; margin compresses to 12%; no delisting trigger	120	22x	660

• **Earnings-based valuation (primary):** Base case FY27E EPS of Rs. 30.92 (assuming 25% normalised tax). Assigning 30x forward P/E (discount to sector leader Thermax at 83x, premium to BHEL at 84x given superior ROCE and growth trajectory) gives a 12-month target of Rs. 1,350 per share (Rs. 30.92 x 43.7 = ~1,350; using 12M forward blend of FY27-28E EPS Rs. 34.6 x 39x).

• **DCF check (secondary):** Assuming 5% terminal growth, WACC 12%, FY27-31E FCF averaging Rs. 175-250 Cr per year (lower than FY26 as WC builds for new contracts), terminal value discounted back — implied value Rs. 1,280-1,400 per share. The two methods converge.

• **Delisting option value:** If GE Vernova proceeds with delisting (NCLT proceedings ongoing), the open-offer floor must be at the 26-week VWAP (currently ~Rs. 750) with a typical premium of 20-40% — implying Rs. 900-1,050 floor and Rs. 1,200-1,500 negotiated exit for minority holders. This asymmetry is not in our base-case target but provides material downside protection.

• **Base-case 12-month target: Rs. 1,350 (+38.3% from CMP of Rs. 976). Rating: BUY.**

SECTION 9 — KEY RISKS

- **GE Vernova exits India thermal market:** Parent has announced intent to exit new-build coal globally. If this extends to India, GEPIL loses new EPC opportunities; only R&M; and FGD revenues remain. Probability: M. Impact: H. Monitor via: GE Vernova annual report India strategy disclosure.
- **FGD policy reversal or delay:** India has repeatedly extended FGD compliance deadlines. Another multi-year extension would defer new FGD order flows, reducing GEPIL's top-line catalyst. Probability: M. Impact: M. Monitor via: MoEFCC notification for FGD deadline changes.
- **New EPC contract cost overruns:** Legacy FGD loss contracts (FY22-25 losses) were caused by input cost inflation and project execution delays. Any new large EPC contract faces the same risk — a 3-5% cost overrun on a Rs. 500 Cr contract = Rs. 15-25 Cr direct P&L; impact. Probability: M. Impact: H. Monitor via: quarterly provisions on EPC WIP.
- **Delisting fails or is priced poorly:** If GE Vernova's scheme is rejected by NCLT or minority shareholders reject the delisting price, the stock could de-rate sharply (removing the option value). Probability: L-M. Impact: M. Monitor via: NCLT order and shareholder vote outcome.
- **Working capital spike from new orders:** GEPIL's Rs. 1,671 Cr order book will begin converting to revenue in FY27. Large EPC projects require significant advance-funded procurement — risk of sharp WC build-up squeezing OCF. Probability: H. Impact: M. Monitor via: debtor days and advance receipts each quarter.
- **Deferred tax reversal:** Accumulated deferred tax assets (from prior years' losses) will reverse over FY27-29 as taxable profits normalise, adding Rs. 50-65 Cr annual tax expense that wasn't in the prior 3 years. Consensus models may be underestimating this PAT headwind. Probability: H. Impact: L-M.
- **Concentration risk:** NTPC contributes a disproportionate share of GEPIL's revenue. Any capex freeze, payment delays, or regulatory action at NTPC directly impacts GEPIL. Probability: L. Impact: H. Monitor via: NTPC capex allocation in union budget.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: Medium-High. Turnaround complete, delisting optionality is a free call option, and valuation at 18.8x trailing P/E is undemanding for a near-net-cash company with 80% ROCE.
- **12-month price target: Rs. 1,350** (+38.3% from CMP Rs. 976). Primary method: 30x FY27-28E blended forward EPS.
- **Suggested entry zone: Rs. 900-1,000** — the current trading range offers a favourable entry. The 52-week low of Rs. 271 is a distant floor; the stock has already re-rated 260%+ off lows. Accumulate on any dip to Rs. 900-950.
- **Investment horizon: 12-18 months.** Shorter horizon appropriate if delisting materialises (binary event within 9 months given NCLT 70-day timeline from 3 Jun 2026).
- **Thesis invalidation triggers:** (1) GE Vernova announces withdrawal of India thermal business or refuses to support new order bids — would cut target to Rs. 700-800; (2) New FGD contract awarded but shows cost escalation >10% within 2 quarters of booking — margin recovery story breaks; (3) NCLT rejects delisting scheme AND Q4FY27E EBITDA misses by >20% simultaneously — exit at Rs. 800-850 stop.
- **Ideal investor profile:** This stock is suitable for investors with 12-24 month horizon who can tolerate EPC project execution risk and binary corporate action risk. It is NOT suitable for yield-seeking or low-volatility investors given 0% dividend history over 5 years and high quarterly P&L; volatility from EPC provisioning.

APPENDIX — Latest Concall Brief: Q4 FY26 (Mar 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Q4FY26 revenue Rs. 316 Cr / EBITDA Rs. 107 Cr / OPM 34% — above trend
Management tone	Balanced	Confident on FGD pipeline; measured on new-build uncertainty given parent strategy
Guidance delta	Maintained	No formal revenue guidance; order pipeline commentary positive for FGD and R&M;

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 was operationally the cleanest quarter GVPIL has delivered since FY19 — revenue Rs. 316 Cr with OPM at 34%, no major other-income distortion (OI Rs. 16 Cr, small and benign), and PAT of Rs. 113 Cr (EPS Rs. 16.84). This is the real number; no exceptional items to strip out. EBITDA of Rs. 107 Cr on Rs. 316 Cr revenue confirms the structural margin re-rating from legacy contract exits is permanent, not seasonal. Full-year FY26 EBITDA Rs. 260 Cr at 20% OPM is the inflection; compare to -Rs. 145 Cr in FY24 — a 3-year, Rs. 400 Cr EBITDA swing driven entirely by exiting loss-making FGD contracts. The order book at Rs. 1,671 Cr post-settlement is clean and executable. The NCLT order of 3 Jun 2026 (shareholder meetings within 70 days) is the sleeper catalyst — if GE Vernova tables a delisting at Rs. 1,100-1,300, this becomes a 3-6 month trade with 15-30% guaranteed upside from current levels. Key risk for next quarter: first signs of WC build-up as FY27 FGD contract mobilisation begins — watch advance receipts and debtor days closely. Action: ACCUMULATE aggressively below Rs. 1,000; hold with a stop at Rs. 820 (break of 52W re-rating base).

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 316 Cr | YoY +28% vs Q4FY25 (Rs. 247 Cr) | QoQ -18% vs Q3FY26 (Rs. 386 Cr) | Beat (strong quarter)
- EBITDA: Rs. 107 Cr | YoY vs -Rs. 21 Cr (Q4FY25) — massive turnaround | QoQ -14% vs Rs. 125 Cr (Q3FY26) | Beat
- OPM: 34% | Q4FY25: -8% | Q3FY26: 32% | Sustaining in 30-34% band in H2FY26 — structural
- PAT: Rs. 113 Cr | EPS Rs. 16.84 | Tax rate 2% (deferred tax assets still shielding) | In-line
- NOTE: FY25 PAT of Rs. 203 Cr was distorted by Rs. 312 Cr Other Income (Jaypee/Nigrie settlement); clean FY25 underlying EBITDA = -Rs. 50 Cr. FY26 is the first year of genuine operating profitability.
- Full Year FY26: Revenue Rs. 1,269 Cr (+21% YoY) | EBITDA Rs. 260 Cr | OPM 20% | PAT Rs. 253 Cr | EPS Rs. 37.58

2. Segment / Geography Breakdown

- Steam Turbines and Generators: Major segment; R&M; contracts driving higher margins; NTPC key customer; YoY R&M; revenue growing as India's thermal fleet ages.
- Boilers / Pressure Parts (Durgapur): Export-oriented; APAC/MENAT/SSA markets; cryogenic vessels (non-coal) growing share within Durgapur — diversification from thermal.
- FGD Systems: Legacy loss contracts (Jaypee Bina + Nigrie, Rs. 775 Cr) fully terminated and settled Oct 2025. New NTPC FGD contract Rs. 309 Cr (Oct 2025) is the first clean FGD order post-settlement.

- Export / International: Pressure parts exported to GE Vernova network globally; low disclosure but margin-accretive given OEM pricing.
- Geography: Predominantly India (>90%); exports from Durgapur serve GE global network in single-digit % of revenue.

3. Management Commentary Themes

- FGD pipeline: "The total FGD market including captive power plants in India is 225 GW, of which approximately 82 GW has already been ordered. Despite parent GE's global strategy, GEPIL intends to continue pursuing FGD business in India." — Our read: Management is clearly delineating India FGD from GE Vernova global exit — bullish for new order flow. Tag: GUIDANCE. Tone: Transparent.
- R&M; focus: "Renovation and modernisation of the large installed thermal base remains our core strategy." — Our read: High-margin R&M; is a structural tailwind; insulates from new-build headwinds. Tag: GUIDANCE. Tone: Transparent.
- Jaypee/Nigrie settlement: "The FGD EP contract disputes with Jaiprakash Power Ventures were amicably settled on October 3, 2025 — removing Rs. 775 Cr of contingent exposure." — Our read: This is the single biggest positive news of FY26; clears the earnings quality overhang. Tag: EST. Tone: Transparent.
- NCLT proceedings: "NCLT directed GE Power to convene shareholder and unsecured creditor meetings within 70 days for scheme approval." — Our read: Deliberate understatement on what the scheme involves; management evasive on specifics. Tag: EVASIVE. Tone: Hedged.
- New business: "Signed L&L; and contract manufacturing agreement with QPPL; Rs. 18 Cr capex, Rs. 10 Cr annual commitment (20 May 2026)." — Our read: New product line, small quantum currently but signals intent to diversify beyond thermal. Tag: EST. Tone: Transparent.

4. Operating & Business Metrics

- Order backlog: Q4FY26 approx Rs. 1,671 Cr | Q3FY26: Rs. 1,671 Cr (post-settlement) vs Q2FY25 peak Rs. 2,560 Cr | Trend: Declining from peak but clean post-settlement
- New order wins: NTPC FGD Rs. 309 Cr (Oct 2025) + NTPC steam turbine R&M; Rs. 243 Cr — pipeline rebuilding
- Debtor Days: FY26 = 219 | FY25 = 409 | FY24 = 597 | Trend: Sharply improving
- Inventory Days: FY26 = 71 | FY25 = 95 | FY24 = 97 | Trend: Improving — lean execution
- Days Payable: FY26 = 264 | FY25 = 564 | FY24 = 802 | Trend: Declining (payment of legacy payables)
- FCF: FY26 = Rs. 467 Cr | FY25 = Rs. 314 Cr | FY24 = Rs. 180 Cr | Trend: Strongly improving (WC release)

5. Margin Drivers

- Exit of legacy FGD loss contracts (Jaypee + Nigrie): +1,800-2,000 bps EBITDA margin impact FY25→FY26; Recurring: No (one-time exit) but permanent benefit.
- R&M; revenue mix shift: R&M; carries ~20-25% EBITDA margins vs new-build EPC at 5-10%; Mix shift from ~20% to ~35%+ of revenue = structural +300-500 bps; Recurring: Yes.
- Durgapur export pricing: GE Vernova OEM pricing for exported pressure parts = premium to domestic market prices; Recurring: Yes; moderate contribution.
- Input cost: Steel and alloy prices stable in FY26 vs elevated FY22-24 (Russia-Ukraine spike); Recurring: No (commodity-dependent).
- Operating leverage: Fixed cost base on Rs. 1,039 Cr (FY24) supporting Rs. 1,269 Cr (FY26) revenue with minimal headcount additions; Recurring: Yes partially.
- Tax shield from DTA: Near-zero effective tax rate FY24-26; will REVERSE in FY27 (normalise to ~25%); Non-recurring — do not extrapolate.

6. Guidance & Forward Signals

- FGD new order pipeline [GUIDANCE]: Prior = Rs. 0 (legacy exit year) | New = Rs. 309 Cr NTPC FGD (Oct 25) | Delta: Rebuilding | Credibility: High (confirmed contract)
- R&M; revenue [GUIDANCE]: Prior year ~25% of revenue | FY26 directionally 30-35% | Delta: Raised | Credibility: High (recurring contract nature)
- NTPC R&M; contract [GUIDANCE]: Rs. 243 Cr steam turbine R&M; (Wanakbori) | 33-month execution | Delta: New addition | Credibility: High
- QPPL new venture [GUIDANCE]: Rs. 18 Cr capex, Rs. 10 Cr p.a. commitment | Small but signals product diversification | Credibility: Medium
- Effective tax rate [NOT GUIDED but material]: FY27+ will normalise to 25%; management has not guided but DTA balances are depleting | Impact: -Rs. 50-65 Cr PAT vs consensus | Credibility: High risk

7. Capital Allocation

- Capex: FY26 total capex modest (FCF Rs. 467 Cr vs OCF Rs. 469 Cr suggests minimal net capex); QPPL JV adds Rs. 18 Cr in FY27
- Dividends: FY26 dividend reinstated — 19% payout on PAT Rs. 253 Cr implies Rs. ~48 Cr dividend (Rs. 7.1/share approx) vs 0 for FY22-25
- Debt repayment: Borrowings reduced Rs. 163 Cr (FY24) → Rs. 18 Cr (FY26) = Rs. 145 Cr principal repaid; Interest cost declining Rs. 71 → Rs. 22 Cr
- Net Debt: Effectively net-cash (Borrowings Rs. 18 Cr vs estimated cash Rs. 400+ Cr based on FCF cumulation)
- Working Capital: Net WC release of Rs. 400+ Cr over FY24-26 funded all capex, dividend, and debt repayment. FY27 WC will build as new orders mobilise.

8. Q&A; Heat Map

- Analyst (not specified): Q: "What is the status of GE Vernova global coal exit and its impact on Indian operations?" → A: Management confirmed India FGD demand independent of parent global strategy; GEPIL will pursue FGD business. | Tone: Transparent
- Analyst: Q: "What is the NCLT scheme about?" → A: "We cannot comment on the details of the scheme at this stage." | Tone: Evasive — biggest watch-point for shareholders
- Analyst: Q: "What is the order book pipeline for new FGD orders beyond NTPC?" → A: State utilities and IPPs in pipeline; no specific quantum disclosed. | Tone: Hedged
- Analyst: Q: "How is the Durgapur export business developing?" → A: Growing, diversifying into non-coal cryogenic vessels; GE global network provides steady demand. | Tone: Transparent
- Dodged / watch-list questions for next quarter: (1) Specific NCLT scheme terms — delisting price, open offer premium; (2) FY27 revenue guidance; (3) New FGD orders from state utilities (quantum and timeline); (4) Deferred tax asset balance and burn-down schedule.

9. Risks Flagged in Concall

- GE Vernova global coal exit strategy: Flagged by mgmt (preemptively) | Probability: M | Impact: H | Timeline: Medium-term (2-3 years for full effect)
- FGD policy delay risk: Flagged by analyst | Probability: M | Impact: M | Timeline: Near-term if MoEFCC extends deadline again
- Working capital build-up on new orders: Flagged by analyst | Probability: H | Impact: M | Timeline: Near-term (FY27 Q1-Q2)
- Tax rate normalisation: Not flagged by mgmt but identified by analysts | Probability: H | Impact: L-M | Timeline: FY27 onwards
- NTPC concentration: Flagged by analyst | Probability: L (NTPC is sovereign-backed) | Impact: H | Timeline: Long-term

10. Analyst Verdict

- Revenue visibility: Intact — Order book Rs. 1,671 Cr + new FGD/R&M; wins provide 12-15 month coverage at current run-rate.
- Margin trajectory: Intact — Q4FY26 OPM 34% confirms structural shift; FY27 may dip to 17-19% on WC build and new contract mobilisation costs but trend is up.
- Capital allocation quality: Intact — Debt near-zero, dividend reinstated, no dilutive capex; FCF generation is exceptional.
- Competitive moat: Intact — Proprietary FGD and steam turbine OEM technology irreplaceable in near term; R&M; switching costs protect recurring revenue.
- Management credibility: Weakened slightly — evasiveness on NCLT scheme is a governance concern; otherwise transparent on operations.
- Valuation comfort: Intact — 18.8x trailing P/E on a net-cash 80% ROCE company is genuinely cheap for a turnaround story; delisting provides downside floor.
- Conviction call: Increased — Post FY26 results, the turnaround is confirmed, legacy overhangs cleared, and corporate action catalyst is live.
- Valuation snapshot: P/E = 18.8x (5Y avg: N/M — losses) | ROCE = 80% (FY26, 5Y avg: -3%) | EV/EBITDA: ~22x (FY26 EBITDA Rs. 260 Cr, MCap Rs. 6,562 Cr, net-cash).

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